LONDON BOROUGH OF HARROW

# REPORT FOR: CABINET

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| **Date of Meeting:** | 19 February 2026 |
| **Subject:** | Final Revenue Budget 2026/27 and Medium Term Financial Strategy to 2028/29 |
| **Key Decision:** | Yes |
| **Responsible Officer:** | Sharon Daniels – Strategic Director of Finance (S151 Officer) |
| **Portfolio Holder:** | Councillor David Ashton – Portfolio Holder for Finance and Highways |
| **Exempt:** | No |
| **Wards affected:** | All |
| **Enclosures:** | **Appendix 1A** – Savings and Growth from 2026/27 Budget Process<br>**Appendix 1B** – Savings and Growth from the 2024/25 and 2025/26 Budget Process<br>**Appendix 2** - Medium Term Financial Strategy 2026/27 to 2028/29<br>**Appendix 3** – Revenue Budget Summary 2026/27.<br>**Appendix 4** – Levies, contributions, and subscriptions<br>**Appendix 5** – Policy on use of contingency<br>**Appendix 6** - Schools Budget 2026/27<br>**Appendix 7** - Public Health Budget 2026/27<br>**Appendix 8** – Reserves Policy<br>**Appendix 9** – Reserves Forecast<br>**Appendix 10** – Report of the Chief Finance Officer<br>**Appendix 11** – 2026/27 Model Council Tax Resolution<br>**Appendix 12** – Members Allowance Scheme 2026/27<br>**Appendix 13** - Annual Pay Policy Statement for 2026/27<br>**Appendix 14** – Flexible Use of Capital Receipts<br>**Appendix 15** - Summary of Resident and Business Consultation<br>**Appendix 16** – Employees' Consultative Forum Recommendation (to follow) |

# Section 1 – Summary and Recommendations

This report sets out the final revenue budget for 2026/27 and Medium Term Financial Strategy (MTFS) to 2028/29. In December 2025, Cabinet approved the draft version of the Revenue Budget and MTFS for general consultation.

## Recommendations:

Cabinet is requested to:

1) Recommend the 2026/27 budget to Council for approval, to enable the Council Tax for 2026/27 to be set.

2) Recommend the Model Council Tax Resolution 2026/27 to Council for approval as set out in Appendix 11. Delegate authority to the Chief Finance Officer to make minor amendments to the resolution or amendments that may be required due to the GLA precept setting.

3) Recommend to Council that, in accordance with Section 38 (2) of the Local Government Finance Act 1992, the Managing Director be instructed to place a notice in the local press of the amounts set under recommendation 2 above within a period of 21 days following the Council's decision.

4) Approve the Medium-Term Financial Strategy for referral to Council as set out in Appendix 2 to the officer's report.

5) Note the balanced budget position for 2026/27 and the estimated budget gap of £7.594m and £2.567m for 2027/28 and 2028/29 respectively, as set out in Table 9 of the officer's report.

6) Note the intention to increase core Council Tax by 2.99% in 2026/27 as set out in Paragraph 1.43 of the officer's report.

7) Note the intention to increase Council Tax by a further 2% in 2026/27 in respect of the Adult Social Care Precept as set out in paragraph 1.43 in the officer's report.

8) Recommend to Council, that the current (2025/26) CTS Scheme will be rolled over for the financial year 2026/27 as set out in paragraph 1.55 of the officer's report.

9) Recommend the approval of a sum of £100,000 for a Council Tax Hardship Fund to be provided under Section 13A Local Government Finance Act 1992 for Council Tax Support claimants as set out in paragraph 1.56 of the officer's report.

10) Delegate to the Strategic Director of Resources and Innovation, in consultation with the Portfolio Holder for Performance, Communications and Customer Experience, to ensure the allocation of the Crisis and Resilience fund meets the criteria set by the Government and remains within the indicative grant level, including decisions on individual expenditure areas that exceed the £500,000 threshold, (if applicable) until a report is brought back to cabinet in June 2026, as set out in paragraphs 1.86 to 1.88 of the officer's report.

11) Agree the Schools Budgets for 2026/27 as set out in Appendix 6 to the officer's report.

12) Note the Public Health Budget for 2026/27 as set out in Appendix 7 to the officer's report.

13) Note the assumed funding for the protection of social care 2026/27 through the Better Care Fund as set out in paragraphs 1.120 to 1.123 of the officer's report.

14) Recommend the 2026/27 Annual Pay Policy Statement to Council for approva, as set out in appendix 13 to the officer's report.

15) Recommend the Capital Receipts Flexibility Strategy to Council for approval as set out in appendix 14 to the officer's report.

## Reason: (For recommendations)

To ensure that the Council sets a balanced budget for 2026/27.

### BACKGROUND

1.01 The financial challenges faced by all UK Councils is the worst for many decades. In the financial year 2025-26 the government agreed to provide 30 councils with support to manage financial pressures via the Exceptional Financial Support (EFS) process. For 8 councils this included agreement to support for prior years. The number of Councils receiving EFS increased to 19 in 2024-25 from 8 in 2023-24.

1.02 Boroughs qualify for EFS when their financial challenges are so extreme they would otherwise face the prospect of issuing a Section 114 notice – effectively a declaration of bankruptcy. The EFS framework enables councils to take emergency loans from the Public Works Loan Board or sell off assets to help address their immediate financial pressures.

*1.03* London Councils press release in October 2025, stated that*:*

*London boroughs need to make savings of around £600m in this financial year (2025-26) to close the gap between available resources and spending on services. This is in addition to £400m of Exceptional Financial Support (EFS) received by seven boroughs, which means the annual funding gap for London local government has reached £1 billion for the first time.*

*In addition, based on current trends in service demand and expected government funding levels, London Councils anticipates a cumulative £4.7bn shortfall for boroughs in the four-year period 2025-26 to 2028-29. This four-year gap has more than doubled since 2024-25, when boroughs forecast a £2.2bn gap.*

*In terms of 2026/27 the annual budget gap across London is expected to increase by around 50% next year, from £1bn this year to almost £1.5bn in 2026-27. This is partly due to the potential impact of the Fair Funding Review 2.0 and also driven by the relentless increase in demand for homelessness*

*support and adult and children's social care – all statutory services where boroughs have strict legal duties and limited ability to cap their spending.*

*After more than a decade of boroughs making significant savings and efficiencies, further savings on this scale will be a major challenge. While boroughs will initially look to non-statutory services, it is likely statutory services will also be affected.*

1.04 Against the backdrop of the huge financial challenges faced by Local Authorities, Government funding for 2026/27 onwards is changing as a result of the much-awaited Fair Funding Review. The Government is changing how it allocates resources to Local Government after resource distribution effectively being frozen for over a decade (since 2013/14). The principle of the Fair Funding Review is to introduce a fairer funding system, which is expected to be simpler and more transparent.

1.05 In previous years, Council Tax in Harrow has been increased to just below referendum limits and full use has been made of the Adults Social Care Precept, both of which were in line with central government expectations. The Council is heavily reliant on Council tax to fund its core budget. In 2025/26 approximately 80% of the Council's net revenue budget of £215m is funded from Council Tax.

1.06 This report refreshes the Medium-Term Financial Strategy (MTFS) for 2027/28 and 2028/29 and sets out the final budget for 2026/27.

The budget setting process this year is different from previous years due to the Government's Fair Funding Review which created a large change on how funding has been allocated across England. Our approach to setting the budget and MTFS is summarised below.

| **Date** | **Key Activity / Announcement** | **Impact on Budget** |
|---|---|---|
| April 25 onwards | Budget Planning sessions with service directorates on a 6-weekly basis.<br><br>2025/26 monthly budget forecast. | MTFS updated for savings, growth and technical adjustments.<br><br>(Paragraphs 1.31 – 1.79 and Table 1) |
| 11th Jun 25 | Spending Review | Government announced additional grant funding of £3.4bn over the next 3 years.<br><br>Funding implications for Harrow not known. |
| 20th Jun 25 | Publication of consultation for the Fair Funding Review 2.0 (FFR2.0) | Proposals on new funding distribution methodology and multi-year settlement.<br><br>Funding implications for Harrow not known. |

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|---|---|---|
| July 2025 | London Councils provided financial modelling based on proposals in the consultation. | Estimated financial impact for Harrow was a net reduction of funding of £0.3m over 3 years.<br><br>No change was made to the MTFS at this stage.<br><br>(Paragraph 1.17) |
| 15th Aug 25 | FFR2.0 consultation closed | Not applicable |
| 30th Oct 25 | Publication of 2025 Indices of Multiple Deprivation (IMD) | The updated IMD resulted in a significant change in funding allocation across England, with a favourable movement for London.<br><br>No change was made to the MTFS at this stage.<br><br>(Paragraph 1.92) |
| 20th Nov 25 | Local Government Funding Policy Statement, along with the responses to the FFR2.0 consultation | Key changes to the proposals in the FFR2.0 consultation confirmed.<br><br>No change was made to the MTFS at this stage.<br><br>(Paragraphs 1.21 – 1.28) |
| 26th Nov 25 | Autumn Budget | Some key points for Local Government announced by the Chancellor of the Exchequer.<br><br>No change was made to the MTFS at this stage.<br><br>(Paragraphs 1.29 – 1.30) |
| Early Dec 25 | London Councils provided financial modelling based on Policy Statement and the updated IMD | Updated IMD and other changes to the consultation proposals taken into account in the London Councils financial modelling, which indicates London benefitting from the funding distribution overall.<br><br>No change was made to the MTFS at this stage. |

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|---|---|---|
| 17th Dec 25 | Local Government Provisional Finance Settlement | MTFS updated to reflect the government funding announced in the provisional settlement<br><br>(Paragraphs 1.80 – 1.96 and Table 9) |
| 9th Feb 26 | Local Government Final Finance Settlement | MTFS updated to reflect the government funding announced in the final settlement |

**SUMMARY**

1.07 This report sets out the final budget for 2026/27 and MTFS to 2028/29, which has been adjusted since the draft budget was presented to Cabinet in December 2025. The Council must have a balanced budget for 2026/27 and whilst it is the ambition to have a balanced budget for all years of the MTFS, the challenging financial environment has not made this possible. After all adjustments, the MTFS shows a balanced budget position for 2026/27 and budget gaps of £7.594m and £2.567m for 2027/28 and 2028/29.

1.08 It is important to note that for 2027/28 and 2028/29, many of the budget adjustments are estimated at a high level, due to the challenges of forecasting complex issues such as inflation, demand, and demographics so far in advance. As the budget is approved annually, the latter two years of the MTFS will be subject to substantive review and adjustment before finally being approved in future years.

1.09 This final report sets out how the Budget has moved from the budget agreed last year in February 2025, through to the Draft Budget being agreed by Cabinet on 18th December 2025, and then shows the changes to the Draft Budget as a result of the Provisional Finance settlement announced on 17th December 2025 and the Final Finance Settlement announced on 9 February 2026.

**PUBLICATION OF THE FAIR FUNDING CONSULTATION – JUNE 2025**

1.10 Following the Spending Review on 11 June 2025, the Government published a consultation on its proposed approach to local authority funding reform through the Local Government Finance Settlement for 2026/27 on 20 June 2025. The consultation closed on 15th August 2025.

1.11 The consultation set out that from 2026/27 onwards English Local Authorities will receive grant funding calculated according to the following three factors and in addition the Revenue support grant will encompass a number of smaller grants in a bid to simplify the system:

- relative needs based on socio-economic factors,
- relative costs taking into account local variations in the cost of providing services; and
- other resources reflecting their ability to raise Council tax.

1.12 The key headlines of the Fair Funding Review are as follows:

- Dedicated Schools Grant (DSG) Statutory Override extended to March 2028 (Harrow's cumulative deficit was £14m as at 31 March 2025, and is projected to increase to £32m by the end of 2025/26).

- Funding Simplification – Most grants rolled into Settlement Funding Assessment; 4 main consolidated grants outside Core Spending Power (CSP) are:

  1. Homelessness and Rough Sleeping Grant
  2. Public Health Grant
  3. Crisis and Resilience Grant
  4. Children, Families and Youth Grant

- Relative Needs Formulae (RNF) – proposed to use 7 main formulae.

- Area Cost Adjustments (ACA) – applied to Relative Needs Formula to account for differences in the costs of delivering services.

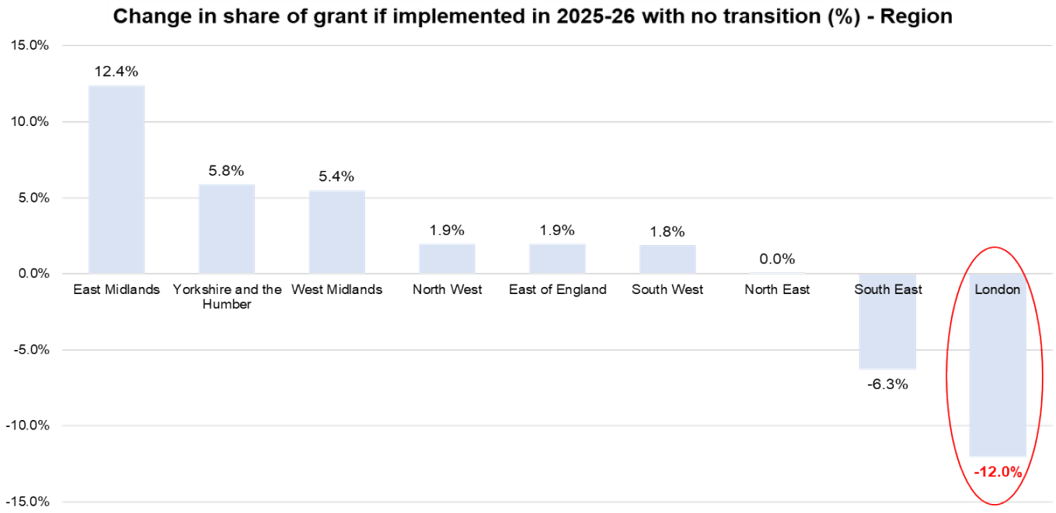
- Relative Resources – notional CT to be set at 100% of England average (c£2,000) to equalise against the council tax base.

- Business Rates – full reset of the BR retention system; changes to be confirmed

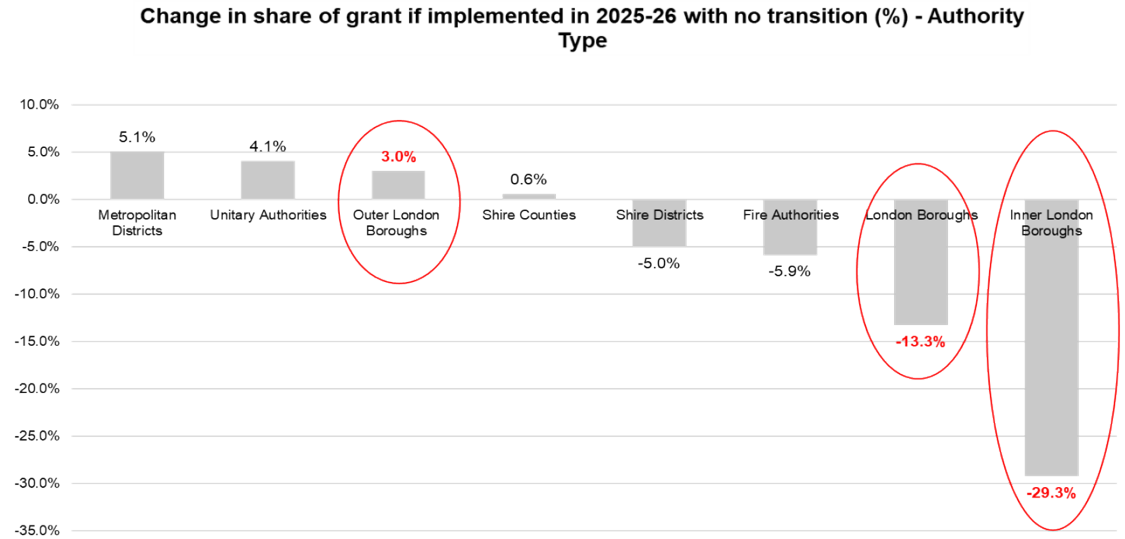
- Transition – new funding formula phased over 3 years with funding floors for most authorities.

1.13 London Councils developed a model to try and assess the potential impact of the proposed funding reforms on London Boroughs and illustrated the change in grant income against the 2025/26 baseline.

1.14 The chart below shows the change in grant income on a regional basis. It shows funding moving away from London and the Southeast.



1.15 This next chart shows the change in grant income per Authority type and shows that within London, Inner London Boroughs lose, and Outer London Boroughs would gain.




1.16 The initial figures provided on an Authority-by-Authority basis set out that despite being an outer London Borough, Harrow would lose grant of £4m over three years. In fact, of 20 Outer London Boroughs, only 10 Outer London Boroughs are estimated to gain grant on a like for like basis when compared to the 2025/26 baseline.

1.17 However, as part of the Spending Review, the Government announced additional grant funding of £3.4bn over the next 3 years and this means that rather than losing £4m of grant, by the end of the 3-year period, Harrow has a net loss of £0.3m. This means that Harrow still loses grant overall, but the impact has been reduced by the overall additional £3.4bn of funding for Local Government.

1.18 London Councils have made it very clear that these are their best estimates and these figures were not to be relied on for Budget Setting purposes and the London Authorities need to wait for the Provisional Finance Settlement figures to be announced.

1.19 The other 2 major announcements impacting Local Government Finance are the Policy Statement for the upcoming Provisional Local Government Finance Settlement for 2026/27, which was announced on 20th November and also the Chancellor of the Exchequer's Autumn Budget announced in Parliament on 26 November.

1.20 The Council's draft Budget presented to Cabinet on 18th December included **no** direct amendments or assumptions from either statement as the detail of what these statements mean for Harrow would only become clear when the Provisional settlement was announced (17th December).

**POLICY STATEMENT 2026/27 LOCAL GOVERNMENT FINANCE SETTLEMENT – 20 NOVEMBER 2025**

1.21 On 20 November 2025, the Minister of State for Local Government and Homelessness published a policy statement on the 2026/27 local government finance settlement with the following statement:

*"In the Fair Funding Review 2.0, we committed to a fairer, evidence-based system that targets funding towards areas with high deprivation and need. The Government's response to the consultation and the Policy Statement published today sets out how we will deliver that commitment, through the first multi-year Local Government Finance Settlement in a decade.*

*This new system will target a greater proportion of grant funding towards the most deprived places because they have been less able to generate funding through local council tax and business rates compared with other places.*

*Through the objectives and principles consultation, and the Fair Funding Review consultation over the Summer, we have heard clear support for our aim to update the system to accurately reflect differences in needs across England. We have listened carefully to responses, and the Government response to the Fair Funding Review 2.0 presents further detail, including a full rationale, for the changes the Government is delivering. Some of the key changes and updates from the proposals as outlined in June include:*

- *Introducing the 2025 Indices of Multiple Deprivation data, which includes housing costs, in the Foundation Formula and Children and Young People's services formulas.*
- *Maintaining the Recovery Grant allocations from 2025-26 and introducing a more than real-terms Recovery Grant Guarantee for upper tier recipients.*
- *Reducing the weighting on remoteness, including the adjustment on only the Adult Social Care relative needs formula.*
- *Updating the data within the model, including population data.*
- *Reducing the weighting of daytime visitors and commuters, recognising that they do not have the same level of need as a resident; and*
- *Providing a range of funding floors".*

1.22 The Statement also confirmed that the Government will continue to run an Exceptional Financial Support (EFS) process to help councils in England in the most difficult positions. The policy statement outlined that, in line with the framework established under the previous Government, where a council faces a specific unplanned financial revenue pressure in a single year that they consider unmanageable, or where the overall financial position means that they consider the council is unable to produce a balanced budget ahead of the financial year, they can request EFS.

1.23 Support via EFS initially comes in the form of in-principle capitalisation, allowing councils to set a balanced budget including an assumption of capitalised expenditure. This is later confirmed through a statutory capitalisation direction should the council fulfil the conditions set by the Secretary of State. Capitalisation is the means by which the government, exceptionally, permits councils to treat revenue costs as capital costs. It is a relaxation of the accounting convention that revenue costs should be met

from revenue resources. As such, capitalisation is only agreed in specific circumstances.

1.24 EFS should only be considered once all available local options have been explored to close a budget gap without the need for a capitalisation direction. For example, the government would not expect councils to request EFS where they have the ability to draw from significant reserves to close a budget gap. Capitalisation is a temporary measure to support budget setting for a limited time, as set out in the policy statement.

1.25 The policy statement also set out that the government will consider local requests for council tax flexibility where a council is facing significant local financial difficulty and views additional council tax increases as critical to managing financial risk.

1.26 The government has already set out that it would not agree to requests for additional flexibilities from councils where council taxpayers are already paying more than average. The Government have set the average Band D Council tax figure for England at £2,060 for 2026/27, for 2027-28 it will be £2,160, and for 2028-29 it will be £2,265. Harrow's Band D for 2026/27 (based on a 4.99% increase) is £2,000.56, so is below the average level set for England.

1.27 Ministers expect any council requesting an additional increase to ensure that appropriate support is put in place for vulnerable households, including reviewing the provision in their council tax reduction scheme and their discretionary discount policy for taxpayers in hardship.

1.28 There were no changes made to the MTFS as a result of the Policy Statement as any funding changes for 2026/27 would only be confirmed in the Financial Settlement for Local Government, (announced on 17 December 2025).

**BUDGET ANNOUNCEMENT – 26 NOVEMBER 2025**

1.29 The main points for Local Government from the Autumn Budget are:

- **Special Educational Needs and Disabilities (SEND) reform plans will be set out early in the next year**. The Budget confirmed that the Government will set out its plans for SEND reform early in the new year and that future funding implications will be managed within the Government's Departmental Expenditure Limit (DEL) envelope.

- Local authorities currently cover the costs of the SEND system, with the Dedicated Schools Grant statutory override ensuring they can do this without reducing other services. From 2028 onwards, future costs will be managed, in full, within the overall government budget. Local authorities will not need to cover SEND costs from their general funds after the end of 2027-28 when the Statutory Override ends.

- Whilst it was welcome news that from 2028/29 onwards local authorities would not be responsible for SEND costs, it was still not clear at this stage what would happen to existing and future deficits that would have built up by

the end of March 2028. The Government recognises that local authorities will need support for historic and accruing deficits and details of this support will be provided through the Local Government Finance Settlement. Harrow's own DSG deficit is estimated to be approximately £32m by the end of 2025/26, which is a significant burden and drain on the Council's cash balances. More detail is included in paragraphs 1.115 to 1.118.

- **High Value Council Tax Surcharge**. The government will introduce a new High Value Council Tax Surcharge on owners of residential properties valued at £2m and above from April 2028. The surcharge will be £2,500 pa for properties worth more than £2m and £7,500 pa for properties worth in excess of £5m as set out below. Government will retain the revenue and compensate local authorities on the cost of collecting it through the existing council tax system. A consultation will launch in 2026. This is forecast to raise approximately £400m per year from 2028-29, which will be collected by local authorities on behalf of central government. The surcharge is as follows

| Property value (£m) | Rate (£) |
|---|---|
| £2.0-2.5 | £2,500 |
| £2.5-3.5 | £3,500 |
| £3.5-5.0 | £5,000 |
| £5+ | £7,500 |

- **Business Rates Revaluation**. The 2026 Business Rates Revaluation will come into effect from 1 April 2026, updating rateable values for all non-domestic rating properties to reflect current market conditions and adjusting the tax rates to reflect the changes to the tax base. The Government is introducing new permanently lower tax rates for eligible retail, hospitality and leisure (RHL) properties, 5p below the relevant national multiplier. Alongside this, the Government announced a support package to protect ratepayers seeing their bills increase because of the revaluation, including:

    - A Transitional Relief Scheme capping bill increases for ratepayers seeing significant bill increases, this will be partly funded by a 1p Transitional Relief Supplement in 2026/27 paid by ratepayers not in receipt of Transitional Relief or Supporting Small Business Relief.

    - A Supporting Small Business Relief capping bill increases for those ratepayers losing some or all or their Small Business Rate Relief, Rural Rate Relief or 2025/26 Retail Hospitality, and Leisure Relief.

- **Cut to All Department Expenditure Limits** - the Chancellor also announced a 0.5% cut to all Department Expenditure Limits (DEL) will be applied across Government budgets in 2028-29, 2029-30 and 2030-31. For Local Government DEL, this applies to local government grant funding only and excludes council tax and business rates. This is therefore equivalent to around 0.1% of Core Spending Power in 2028-29. The implications of this and how it impacts allocations for 2028-29, will become clearer after the provisional Local Government Finance Settlement in December which will provide allocations for the 3 years of 2026/27, 2027/28 and 2028/29.

1.30 There are no changes made to the MTFS as a result of the Autumn Budget as any funding changes for 2026/27 would only be confirmed in the Financial Settlement for Local Government (announced on 17 December 2025).

**DELIVERY OF THE 2025/26 BUDGET**

1.31 Harrow has had a good track record of robust financial management and has not reported a revenue budget overspend in recent years.

1.32 The 2023/24 Outturn was reported to Cabinet in July 2024. The final outturn on the revenue budget for 2023-24 was an underspend of £1.3m. This underspend was added to the Budget planning Reserve increasing the reserve to just over £21m.

1.33 The 2024/25 Outturn was reported to Cabinet in July 2025. The final outturn on the revenue budget for 2024/25 was an underspend of £1.6m and this underspend was added to the Budget Planning Reserve, increasing the reserve to its current level of £22.8m.

1.34 However, the current year's forecast for Quarter 3 2025/26 is showing an overspend of £2.869m, which is just under £2.0m more than the 2024/25 Q3 position where an overspend of £909k was being reported.

1.35 The position on the 2025/26 revenue budget is detailed in a separate report on this agenda, Revenue and Capital Budget Monitoring Report 2025-26 Q3 where the net overspend of £2.869m is being reported. If the position does not improve before year end it would be necessary to draw down this amount from the £22.8m Budget Planning Reserve to bring in a balanced position.

1.36 The net overspend of £2.869m reported, is made up of a £17.422m overspend within Directorates, which has been partially offset by £14.553m underspend in Corporate Budgets and the use of one-off reserves.

1.37 Key areas of Directorates overspend include the following and form part of the approach for setting 2026/27 budget and MTFS as set out in paragraph 1.06 of this report.

**Parking** – there is a shortfall in PCN income of **£2.8m** against the MTFS target.

**Housing** – the budget pressure is significantly more than originally assumed in the MTFS which included budget growth of £3.5m in 2025/26. The rising demand and prices of nightly rated temporary accommodation result in a forecast pressure of £9.767m. The earmarked reserve of £7m will be used to partially fund the pressure, but this mitigation is one-off only. The one-off drawdown brings the pressure down to **£2.767m net**.

**Adult Services** – Despite adding over £9m growth in the 2025/26 budget to fund demand and inflationary increases, there remains a cost pressure of **£5.8m.** This is due to increased costs from both existing care packages and new client packages, resulting from rising demand and complex needs. In addition to rising demand, the overspend on community equipment is also attributable to short-term provisions whilst transitioning to the new contract.

**Children's Services** – there is a forecast pressure of **£6.5m**, with £3.7m of this relating to cost pressures on placements and the rest relating to staff costs. Alternative accommodation, e.g. semi-independent living, is being explored to reduce placement costs. The use of agency staff will also be reviewed to reduce spend.

1.38 The key variances that contribute to the £14.553m underspend on the corporate budgets are detailed below:

- (£1.350m) underspend relates to the surplus of employer pension contributions. This is based on the figure in the 24/25 outturn.
- (£3m) drawdown from Business Risk Reserve. This reserve was set up to mitigate in-year business risks such as the delay in moving from Band B to Band A PCN charges.
- (£2.997m) anticipated payment from DEFRA for Extended Producer Responsibility in 2025-26.
- £312k forecast reduction in the dividend from the LLP due to the transitional period of changing the operating model which results in some voids.
- (£2.0m) underspend on the Contingency Budget on the basis that half of the budget is released as not required at the end of Quarter 2.
- (£1.2m) forecast underspend on the Non-Pay Inflation Budget. This budget is set aside for inflationary uplifts primarily for energy costs.
- (£4.786m) forecast underspend on Capital Financing costs mainly as a result of slippage on budget expenditure in the Capital Programme.

**BUDGET PROCESS 2026/27**

1.39 The Council has a statutory obligation to agree and publish the budget for 2026/27, and approval for this will be sought in February 2026. In preparing the 2026/27 budget and rolling forward the MTFS to cover the three-year period to 2028/29, the current MTFS has been the starting point for the process.

1.40 In preparing the draft budget for 2026/27 the existing MTFS has been:

- Refreshed and rolled on a year into 2028/29
- Updated to reflect the pressures, as well as any opportunities and savings, plus council tax changes.

1.41 The draft budget was presented to Cabinet in December 2025 as summarised in Table 1 below. For completeness, the adjustments required to set the draft Budget in December 2025 have been repeated in this report as summarised in Table 1 below, followed by a narrative explanation for the figures. Table 1 shows budget gaps of £17.061m for 2026/27, £8.153m for 2027/28 and £7.325m for 2028/29, a total budget gap of £32.539m over the 3-year period.

| Table 1: Changes to the MTFS (Prior to Provisional Finance Settlement) | | | |
|---|---|---|---|
| | 2026/27 | 2027/28 | 2028/29 |
| | £'000 | £'000 | £'000 |
| **Published Budget Gap (February 2025)** | **5,638** | **3,685** | |
| | | | |
| **Council Tax Changes:** | | | |
| Core CT @2.99% | | | -5,692 |
| ASC Precept CT @2% | | | -3,807 |
| Impact on council tax income based on revised 26/27 CT base | 678 | 272 | |
| 2026/27 One-off Collection Fund Surplus | -95 | 95 | |
| | | | |
| **Technical Adjustments:** | | | |
| Reprofile Concessionary Fare growth, based on mid-case estimate provided by London Councils | -331 | -279 | 765 |
| Triennial valuation of the Pension Fund | -4,000 | | |
| DEFRA Extended Producer Responsibility (EPR) payment to lcoal authorities | -3,066 | 307 | 828 |
| Revenue savings from Invest to Save Capital projects (2026/27 to 2028/29) | -225 | -425 | -425 |
| Technical Adjustments - reverse the surplus in 25/26 | -252 | | |
| Council Tax Support Hardship fund (one-off for 26/27) | 100 | -100 | |
| | | | |
| **Capital Financing Costs:** | | | |
| 28/29 Capital Programme costs from 25/26 refresh | | | 1,222 |
| Capital financing saving/re-profiling from 25/26 Capital Programme review | -884 | 595 | 207 |
| Capital Financing costs arising from 26/27 refresh | 512 | 793 | 780 |
| Saving on Minimum Revenue Provision (MRP) due to capital slippage and historical provision no longer required | -1,670 | -1,330 | |
| Use of Capital Flexibilities to fund revenue cost (one-off in 26/27; therefore reversed in 27/28) | -1,250 | 1,250 | |
| | | | |
| **Pay Inflation:** | | | |
| **Pay Award 2026/27** | | | |
| £3m budget assumed in 24/25 MTFS | | | |
| Impact of 2025 LLW increase on pay costs for lower graded staff | 150 | | |
| **Pay Award 2027/28** | | | |
| £3m budget assumed in 25/26 MTFS (Pay award @2.5%) | | | |
| **Pay Award 2028/29** | | | |
| £3m budget assumed in 26/27 MTFS (Pay award @2.5%) | | | 3,000 |
| | | | |
| **Provision for Non Pay Inflation:** | | | |
| Non Pay inflation | | | 1,000 |
| Non Pay Inflation budget saving - Surplus from 2024/25 allocation | -700 | | |
| WLWA levy increase - Adjustments to growth based on 26/27 draft WLWA budget report | -647 | -323 | |
| | | | |
| **Directorates Savings and Growth:** | | | |
| Resources | 251 | -115 | -266 |
| Managing Director | -138 | 135 | |
| Culture, Environment & Economy | 1,399 | 50 | |
| Housing & Regeneration | 11,858 | 3,453 | 3,713 |
| Adult Services | 8,337 | 90 | 6,000 |
| Children's Services | 1,396 | | |
| | | | |
| **Revised Budget Gap** | **17,061** | **8,153** | **7,325** |

## EXPLANATION OF FIGURES IN TABLE 1

### Council Tax Changes

1.42 The 20th November Policy Statement established that the government will maintain the same core referendum principles (as they were in 2025-26) over the multi-year Settlement and will consult on the following referendum principles in the Provisional Settlement:

- A core council tax referendum limit for local authorities of up to 3%;
- An adult social care precept of 2% for all local authorities responsible for adult social care services;

1.43 When the Final Budget was agreed in February 2025, the 2025/26 council tax increase was 4.99% (2.99% for the core council tax increase and 2% for the Adult Social Care Precept) with 4.99% assumed for the following 2 years of the MTFS for 2026/27 and 2027/28.

1.44 As the MTFS is extending a further year to 2028/29, a 4.99% Council tax for 2028/29 generates approximately **£9.5m in additional council tax income** which is included in Table 1 (£5.692m + £3.807m).

1.45 The Council's tax base has been calculated, (according to the relevant procedures and guidance) at **90,629** Band D equivalent properties. The tax base of 90,629 compares with a tax base of 90,843 set for the financial year 2025/26. This is a decrease of 214 Band D equivalent properties and has arisen predominantly due to the volumes of Council Tax premiums payable being lower than had previously been anticipated.

1.46 When the budget was set in 2025/26, an assumed growth in the tax base was made for an additional 125 Band D properties in 2026/27. Therefore, the reduction in Band D properties in terms of the 2026/27 budget is a total of 339 Band D properties which is a reduction in Council tax income of £678k.

There was a further tax base increase assumed for 2027/28 of 125 Band D properties. Given the reduction in the tax base figure between 2025/26 and 2026/27 it is prudent to reverse this and therefore a reduction in council tax income of £272k is shown in Table 1 to reflect this reversal.

1.47 The Collection Fund and its impact on the 2026/27 budget is subject to a separate report elsewhere on this agenda (Report: Estimated Surplus / (Deficit) on the Collection Fund 2025-26). **The estimated impact on the 2025/26 Collection Fund is a net surplus of £95k** for Harrow. This surplus, which must be accounted for as a one-off benefit against the 2026/27 budget and is included in Table 1.

**Main Technical Adjustments**

1.48 Reprofiling of the Concessionary Fares Budget – the assumptions on the cost of the Concessionary Fares Scheme have been updated using latest estimates from London Councils as of December 2025. This results in a reduction in the previous assumed budgets in 2026/27 and 2027/28 of £331k and £279k respectively and an increase in 2028/29 of £765k.

1.49 Saving from the Triennial Valuation of the Pension Fund –the key aspects of the triennial valuation process is the setting of the employer contribution rates for all scheme employers for the next 3 years – the 2025 Valuation results will be finalised (formally) in March 2026 and will set the rates for the financial years 2026-27 to 2028-29 inclusive. Harrow is the fund's major employer, which accounts for almost 80% of the Scheme membership at 31 March 2025. The Fund's actuary has carried out an asset / liability study and modelled the impact of a number of contribution rate strategies. The estimated saving as a result of reducing employer contribution rates is £6m in total. £2m was assumed in the Budget setting process for 2025/26 and therefore a further £4m saving is now included in Table 1.

1.50 DEFRA Extended Producer Responsibility (EPR) Scheme – as part of the 2025/26 Policy Statement issued last year in November 2024, the Department of Environmental, Food and Rural Affairs (Defra) provided provisional estimates of local authority income from the extended producer responsibility for packaging (EPR) scheme via correspondence directly with councils. This includes both waste collection and waste disposal authorities.

1.51 For 2025/26 only, provisional payments were set out in letters to councils as a guaranteed minimum. Local Authorities were told the figure was a one-time guarantee by central government and that the actual payment would not be lower (but could potentially be higher), compared to the provisional allocation. The allocation for Harrow at the time was £2.769m and the actual sum received for 2025/26 was higher at £2.997m. This sum has been factored into the 2025/26 budget as an income and treated as a one-off allocation to support the overall overspend position in 2025/26.

1.52 In November 2025, Harrow was notified that the payment for 2026/27 will be £3.066m. This has been built into the budget and included in Table 1, but with a reduction of £308k in 2027/28 (effectively this means the 2027/28 income assumed is 90% of the 2026/27 payment) and a further £828k reduction in 2028/29 (which means the 2028/29 income assumed is 70% of the 2027/28 payment). The reductions have been made to allow for producers potentially using less packaging to avoid paying this levy.

1.53 Revenue Savings from Invest to Save Capital Projects - £15m has been included in the Draft Capital Programme (£5m per annum for 2026/27 to 2027/28) in relation to Invest to Save capital projects. This funding envelope will provide a mechanism to fund projects within the capital programme as and when investment opportunities arise during the year. The use of this funding is subject to business cases which demonstrate the investment will deliver a revenue saving that as a minimum meets the capital financing cost, therefore there is no net revenue impact to the MTFS. The savings shown in Table 1 of £225k, £425k and £425k across the 3-year period of the MTFS

represent the equivalent Capital Financing costs of the £15m investment in the Capital Programme.

1.54 The Council must consider whether to revise or replace its Council Tax Support scheme (CTS) each financial year and this requirement is facilitated by including this in the Council tax base report which is reported to Cabinet in December at the same time as the Draft Revenue Budget is considered.

1.55 There were no proposed revisions to the current (2025/26) CTS Scheme for the financial year 2026/27.

1.56 A review of the CTS Scheme for 2027/28 will be considered after March 2026 and a one-off Council Tax hardship fund of £100,000 is included in the budget for 2026/27 to provide financial support of up to 100% of the Council Tax payable for working age Council Tax Support claimants experiencing exceptional circumstances and who were in receipt of Council Tax Support on 31st March 2025. Awards shall be considered based upon an application with each case being considered on its own merits.

**Capital Financing Costs**

1.57 When the Capital programme was agreed last year as part of the 2025/26 Budget setting process, the programme was extended to 2027/28. The programme added in 2027/28, that was funded from borrowing, would incur capital financing costs in 2028/29. This year was outside of the MTFS process for 2025/26 and so those costs of £1.222m need to be included in the 2028/29 budget as part of this year's budget setting process and are included in Table 1.

1.58 In preparing the Draft Capital Programme for 2026/27 to 2028/29, a capital programme review was undertaken in October 2025. The review aimed to understand project progress and to reprofile the existing budgets, where applicable, to better reflect the timeline of delivery plans.

1.59 The outcome of the Capital Programme review means that due to delays a number of projects will not spend to original budget plans and therefore budget will be slipped to future years. Delays in project delivery mean that some of the 2025/26 budget will be slipped to 2026/27. More details of the slippage are included in the capital budget forecast as part of the Q2 budget monitoring report also on this agenda. It is estimated that there is a re-profiling of capital financing costs of £802k from 2026/27 to 2027/28 as a result of the forecast slippage.

1.60 Also, for some projects, due to the change in delivery plans, some of the budget in the current Capital Programme is no longer required. The total amount being removed from the capital programme is £1.952m in 2025/26, £150k in 2026/27 and £150k in 2027/28. Of these, £0.872m is assumed to be funded from borrowing and will provide a revenue saving of £82k per annum.

1.61 The impact of the changes in paragraphs 1.61 and 1.62 result in a net reduction of £884k in 2026/27, and then an increase of £595k and £207k in

2027/28 and 2028/29, reflecting a net overall reduction of £82k across the 3 years of the MTFS.

1.62 The additional capital financing cost associated with new capital proposals across all 3 years (which total a net increase in the Capital Programme of £30.233m) is £2.449m. Should all capital proposals be included in the final Capital Programme, the revenue impact in 2026/27 to 2028/29 (£512k, £793k and £780k respectively) would need to be included in the 2026/27 MTFS and are therefore included in Table 1 of this Draft Revenue Budget. The additional capital financing cost in 2029/30 of £368k would need to be factored into the budget as part of the 2027/28 budget process next year as 2029/30 is outside of this current MTFS. The capital financing cost, excluding the invest to save projects detailed in paragraph 1.65, is £331k.

1.63 However, although the Capital financing costs need to increase by the figures set out in paragraph 1.64, there are a number of proposals, one being the Property Acquisition Programme proposal where there will be a saving on Temporary Accommodation costs as result of purchasing properties for TA purposes. This will be used to offset the capital financing costs associated with this project. The same arrangement applies to Invest to Save capital projects and In-House Residential Provision for Children with Disabilities. The total of these savings is £2.321m (up to 2029/30) which compares to the additional cost of £2.118m (up to 2029/30) and therefore the net impact as far as the revenue budget is concerned is a net saving of £203k relating to Property Acquisition Programme. As the financial year 2029/30 is outside of the draft MTFS period, the capital financing cost and revenue budget relating to 2029/30 will be included in the next MTFS refresh. The savings of £1.834m (out of the total of £2.321m) are reflected in the Directorate savings/Technical Adjustments shown is Table 1.

1.64 Part of the annual Budget process includes a full review of the Capital Financing charges in relation to the Minimum Revenue Provision (MRP) charge. This review has led to a refinement of the MRP budget which means the budget can be reduced by £3m in total, £1.67m in 2026/27 and £1.33m in 2028/29.

1.65 Capital Receipts Flexibilities - In 2016 the government announced the Capital Receipts Flexibility Scheme to support local authorities to deliver more efficient and sustainable services by allowing them to spend up to 100% of their fixed assets receipts on the revenue costs of transformation projects. The flexibility has been extended on numerous occasions and the last year as part of the 2025/26 provisional settlement there was a further extension to 2030.

1.66 The budget assumes a continuation for a further year into 2026/27 but this is only a one-off benefit in 2026/27 which is reversed in 2027/28. The revenue budget includes a budget of £1.25m to fund the Regeneration Team. The nature of this spend meets the capital flexibility criteria and the team will be funded under the capital flexibilities scheme for 2026/27.

**Pay Inflation**

1.67 Table 1 sets out the pay award assumptions already built into the budget for the 3 years of the MTFS. The last pay award for 2025/26 was agreed at 3.2% and cost around £4m. Future assumptions allow for a pay award of £3m for 2026/27 and 2027/28 and therefore a further £3m is included for 2028/29. Should the pay award be agreed at a figure higher than the £3m assumption, then budget growth would need to be added as part of next year's budget setting process.

1.68 In addition to the main pay award, as a result of changes made in the 26 November budget to increase the London Living wage, it is estimated that this will cost an additional £150k in 2026/27, which has been included in Table 1.

**Non-Pay Inflation**

1.69 Non pay inflation, covers areas such as energy costs and contractual uplifts and was set at £1m per annum in 2026/27 and 2027/28.

1.70 A £700k saving arises as only £300k of the 2024/25 allocation has been required.

1.71 £1m of non-pay inflation is added to the 2028/29 Budget.

1.72 West London Waste Authority (WLWA) charges – West London Waste Authority (WLWA) is a statutory Waste Disposal Authority (WDA) responsible for disposing of waste produced by 1.7 million residents, collected across the London Boroughs of Brent, Ealing, Harrow, Hillingdon, Hounslow and Richmond upon Thames. This includes the waste collected from households and at household waste sites.

1.73 The cost of the charge for 2025/26 increased by £781k and therefore growth was added to the budget for 2026/27 and 2027/28 of £800k in each year. The actual levy charge that has come through for 2026/27 is only £153k which is £647k less that the assumed increase for 2026/27 and is therefore shown as a saving in Table 1. For 2027/28, a budget provision of £477k has been assumed, based on the average increase over the previous 2 years, thereby showing a reduction of £323k on the assumed £800k in 2027/28. No assumption on increase for 2028/29 has been included as this will be revisited as part of next year's budget setting process.

**Directorate Savings and Growth**

1.74 The rest of the figures in Table 1 relate to Directorate savings and growth which are detailed in Appendix 1A. As can be seen from Table 3 and Appendix 1A, there is net growth of £23.102m in 2026/27, £3.613m in 2027/28 and £9.447m in 2027/28. Therefore, this is net growth across the 3 years of £36.162m.

1.75 Of the total net growth of £36.2m, growth in the Adult social care budget accounts for £14.6m and growth in Housing in relation to Temporary

Accommodation costs accounts for £20.3m. Therefore these 2 areas alone account for £34.9m of the net growth.

**Growth & Savings agreed as part of 2025/26 Budget Setting**

1.76 Table 2 below summarises the savings and growth previously agreed as part of the 2025/26 and 2024/25 budget process. This shows that there is net growth of £2.657m in 2026/27 and £5.859m in 2027/28. Therefore, total growth of £8.516m across the 2 years. This growth was already included in the February 2025 Budget gap which was the starting position for Table 1.

**Table 2: Savings and Growth from the 2025/26 and 2024/25 Budget Process (Details in Appendix 1B)**

**Summary Savings and Growth from the 2025-26 & 2024-25 Budget Process** **APPENDIX 1B**

| | 2026-27 | 2027-28 | Total |
|---|---|---|---|
| | £000 | £000 | £000 |
| **Savings** | | | - |
| Resources | (100) | - | **(100)** |
| Managing Director | (100) | - | **(100)** |
| Culture, Environment and Economy | - | - | **-** |
| Housing and Regeneration | (922) | (331) | **(1,253)** |
| Adult | - | | **-** |
| Childrens | | | **-** |
| Corporate/Council Wide | | | **-** |
| **Total Savings** | **(1,122)** | **(331)** | **(1,453)** |
| **Growth** | | | |
| Resources | 70 | - | **70** |
| Managing Director | (74) | - | **(74)** |
| Culture, Environment and Economy | 187 | - | **187** |
| Housing and Regeneration | (377) | 330 | **(47)** |
| Adult | 3,950 | 5,860 | **9,810** |
| Childrens | 23 | - | **23** |
| Corporate/Council Wide | | | |
| **Total Growth** | **3,779** | **6,190** | **9,969** |
| **Net Total Savings and Growth** | **2,657** | **5,859** | **8,516** |

**Growth & Savings agreed as part of 2026/27 Budget Setting**

1.77 Table 3 summarises "new" growth and savings from the current 2026/27 budget setting process. This shows that there is net growth of £23.102m in 2026/27, £3.613m in 2027/28 and £9.447m in 2027/28. Therefore, this is net growth across the 3 years of £36.162m which is driving the current budget gap of £32.539m.

**Table 3: Savings and Growth from the 2026/27 Budget Process (Details in Appendix 1A of Draft Budget report)**

| Proposed savings/growth proposals - 2026-27 budget process and MTFS | | | | APPENDIX 1A |
|---|---|---|---|---|
| | 2026-27 | 2027-28 | 2028-29 | Total |
| | £000 | £000 | £000 | £000 |
| **Savings** | | | | |
| Resources | (185) | (115) | 0 | **(300)** |
| Managing Director | (228) | 135 | 0 | **(93)** |
| Culture, Environment and Economy | (421) | 0 | 0 | **(421)** |
| Housing and Regeneration | (794) | (160) | (287) | **(1,241)** |
| Adult | (113) | (50) | 0 | **(163)** |
| Childrens | (135) | 0 | 0 | **(135)** |
| Corporate/Council Wide | | | | **0** |
| **Total Savings** | **(1,876)** | **(190)** | **(287)** | **(2,353)** |
| **Growth** | | | | |
| Resources | 436 | 0 | (266) | **170** |
| Managing Director | 90 | 0 | 0 | **90** |
| Culture, Environment and Economy | 1,820 | 50 | 0 | **1,870** |
| Housing and Regeneration | 12,651 | 3,613 | 4,000 | **20,264** |
| Adult | 8,450 | 140 | 6,000 | **14,590** |
| Childrens | 1,531 | 0 | 0 | **1,531** |
| Corporate/Council Wide | | | | **0** |
| **Total Growth** | **24,978** | **3,803** | **9,734** | **38,515** |
| **Net Total Savings and Growth** | **23,102** | **3,613** | **9,447** | **36,162** |

1.78 When looking at the total growth in both Table 2 (£9.969m) and Table 3 (£38.515m), which totals £48.484m, Table 4 shows that the vast majority of the growth (£47.223m) has gone into Adult Services and Housing General Fund for Temporary Accommodation costs.

**Table 4: Total Growth in Adult Services and Housing for TA Costs**

| | 2026/27 | 2027/28 | 2028/29 | Total |
|---|---|---|---|---|
| | £'000 | £'000 | £'000 | £'000 |
| **Adult Services - Demand and Contract Inflation** | | | | |
| New growth in 2026/27 MTFS | 8,450 | 140 | 6,000 | **14,590** |
| Growth already included in previous years' MTFS | 5,750 | 5,860 | | **11,610** |
| **Total Growth** | **14,200** | **6,000** | **6,000** | **26,200** |
| | | | | |
| **Housing - Temporary Accommodation cost pressure** | | | | |
| New growth in 2026/27 MTFS | 12,128 | 4,065 | 4,500 | **20,693** |
| Growth already included in previous years' MTFS | | 330 | | **330** |
| **Total Growth** | **12,128** | **4,395** | **4,500** | **21,023** |
| | | | | |
| **Total Growth in 3-year budgets** | **26,328** | **10,395** | **10,500** | **47,223** |

The summary information in Tables 2 and 3 is supported by details in appendices 1A and 1B of the Draft Budget report (December 25 Cabinet).

**Net impact of Table 1 (As reported to Cabinet 18 December 2025)**

1.79 The net impact of all the adjustments in Table 1 resulted in a total estimated budget gap across the MTFS of £32.539m as follows:

2026/27 £17.061m
2027/28 £8.153m
2028/29 £7.325m

**ADJUSTMENTS TO THE BUDGET SINCE THE DRAFT BUDGET WAS PUBLISHED ON 18 DECEMBER**

1.80 The Provisional Finance Settlement setting out the impact of the Fair Funding Review was announced on 17 December 2025 and provided funding allocations for local authorities for 3 years from 2026/27 through to 2028/29. Further updates were also made when the Final Finance Settlement was made available on 9th February 2026 (Paragraph 1.197).

1.81 Both settlements were based on the 20 November policy statement, and this has already been set out in paragraphs 1.21 to 1.28 but the key points are:

1.82 Across England Core Spending Power **(CSP)** will increase by 8.5% in real terms from £77.7bn in 2025-26 to £84.8bn by 2028-29 with **73% of this coming from Council tax increases.**

1.83 Across London boroughs, CSP will increase by 9.4% in real terms - from £10.7bn to £12.5bn by 2028-29 with **67% coming from Council tax increases.** Outer London boroughs on average see the largest increases in CSP over the next three years.

**Grants**

1.84 The definition of Core Spending Power has broadened significantly to include more grant funding - 18 grants will be consolidated into RSG with ringfences removed.

1.85 16 other grants have been consolidated into 4 funding pots – **Public Health**; **Children & Families**; **Homelessness, Rough Sleeping & Domestic Abuse**; and **Crisis & Resilience Fund** – worth £21.5bn over the next three years. For Harrow this amounts to an additional funding of £3.9m over 3 years (25/26 baseline: £21.5m; 28/29: £25.4m). The grants are set out below:

**Table 5 – Grants outside Core Spending Power as per Provisional Finance Settlement**

| Local Government Finance Settlement - Consolidated Grants 2026/27 to 2028/29[1] | | | | |
|---|---|---|---|---|
| *Select authority:* | | | | |
| Harrow | | | | |
| Consolidated Grant | 2026/27 £m | 2027/28 £m | 2028/29 £m | Total £m |
| Homelessness, Rough Sleeping and Domestic Abuse Grant[2,3] | 2.835 | 2.965 | 3.080 | 8.879 |
| Public Health Grant[4,5] | 14.251 | 14.614 | 14.972 | 43.838 |
| Crisis and Resilience Fund[6] | 3.454 | 3.452 | 3.460 | 10.366 |
| Children, Families and Youth Grant[7] | 4.468 | 4.433 | 3.891 | 12.792 |
| Mayoral Capacity Funding | 0.000 | 0.000 | 0.000 | 0.000 |
| **Total** | **25.007** | **25.465** | **25.404** | **75.875** |

The Homelessness, Rough Sleeping and Domestic Abuse grant has increased by £94k in the Final Finance Settlement, making a total increase of £4m over 3 years.

1.86 The Crisis and Resilience Fund (CRF) has been made available to local authorities (LAs) in England to support low-income households who encounter a financial shock and to support activity that builds individual and community financial resilience. It covers the period of 1 April 2026 to 31 March 2029 inclusive and is a consolidated revenue grant that will be delivered through the Local Government Finance Settlement from the financial year ending March 2027.

1.87 The provisional allocations for the financial year ending (FYE) March 2027 to the FYE March 2029 were published alongside the CRF guidance in January. The grant will be ringfenced to be spent as detailed in the CRF guidance for LAs. The three main outcomes of the CRF are provision of effective crisis support, improving individuals' financial resilience, and bolstering the local-level support landscape. To do this, LAs must allocate the CRF funding across the following CRF components:

- Crisis Payment: Providing support to those in crisis.
- Housing Payment: Providing financial support towards housing needs, to those who face a shortfall in meeting their housing costs.
- Resilience Services: Funding for services delivered by Authorities or external providers to improve financial resilience.
- Community Coordination: Investment in activities that connect and enhance the local support landscape.

1.88 A delivery plan outlining the Authority's intentions for expenditure of the fund is due to the Department for Work and Pensions (DWP) in July and will be presented to Cabinet in June. The guidance states that LAs "should seek to implement all elements of the Fund as far as possible by 1 April 2026. Where an Authority is not able to do this, Authorities should set this out in their delivery plans, explaining the reasons for delayed implementation, the timeline they are working to and any mitigations they are putting in place in

the interim". This will be important in maintaining support to residents and avoiding a cliff-edge gap in provision between April and July.

**Council Tax**

1.89 Current Council Tax principles continue for most authorities: with a 2.99% increase for the core council tax and 2% for the Adult Social Care Precept) for upper tier authorities incl. London boroughs.

1.90 However, 6 upper tier authorities who have lower than average council tax and will see more than 15% reductions in the share of Fair Funding Allocations (including 5 London boroughs) will have CT referendum limit removed in 2027-28 and 2028-29. Core Spending Power figures for these councils assume they raise Band D rates by an additional £150 on top of 4.99%. The 6 authorities are Windsor and Maidenhead, Westminster, Wandsworth, Hammersmith and Fulham, City of London, Kensington and Chelsea.

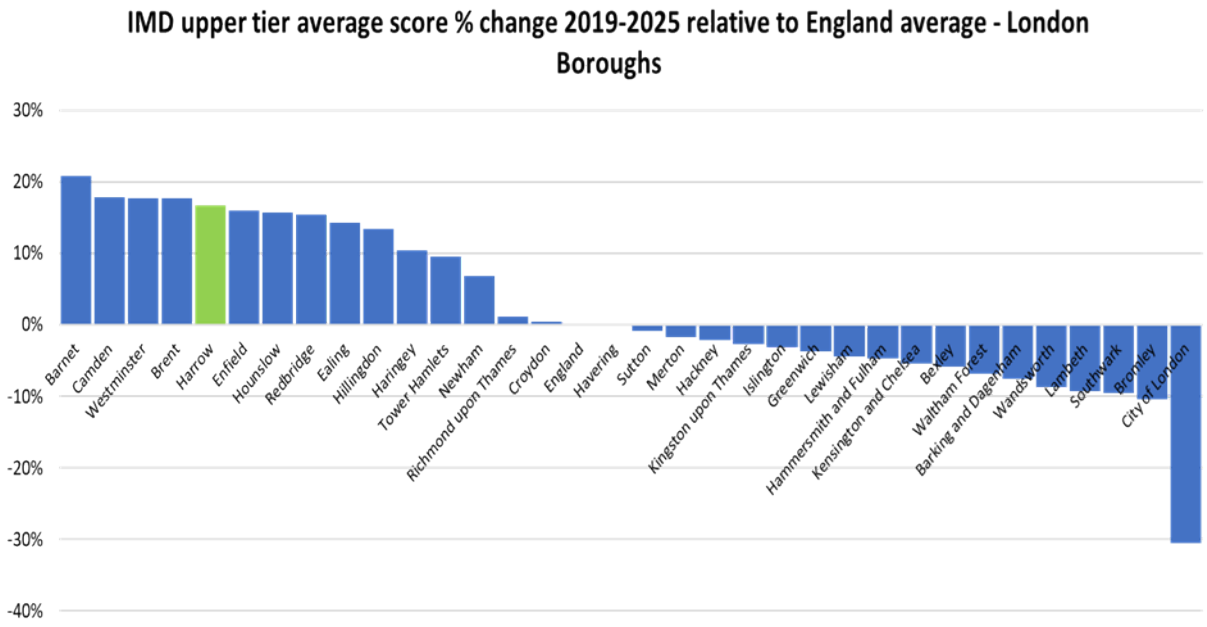
1.91 Council Tax Requirement figures assume council tax raised to the maximum each year and the council tax base to continue to increase at the same rate as the average of the past 5 years for every authority. There is also an assumed 100% collection rate. This is challenging for most authorities. Harrow achieves a good collection rate of 98% but would therefore still be below the assumed Council tax requirement.

**Other changes**

1.92 One of the most significant changes to come through is the use of the 2025 Index of Multiple Deprivation (IMD) which was published on 30 October. The last indices were based on 2019 data, so there has been an update to 2025 but undoubtedly, the inclusion of Housing costs now having been incorporated into how income deprivation is measured in the updated IMD has made the most significant impact on the allocation of the fair funding allocations.

1.93 The following chart shows the impact of this on London Authorities which shows the % change relative to the England average. Harrow has seen the 5th largest change amongst all London Boroughs.

**Table 6 – updated IMD including Housing costs for London Boroughs**




1.94 Other changes made included:

- a larger weighting for the Temporary Accommodation Formula due to using 24/25 spend data.
- The removal of remoteness from Area Cost Adjustment in all formulae - except Adult Social Care.
  A reduction in weighting for daytime visitors and commuters within the Foundation Formula on the basis.

**Impact of these changes on Harrow's Final Finance Settlement**

1.95 The impact of this in terms of the settlement is shown in the following 2 tables. Table 7 shows data directly from the MHCLG website and Table 8 translates this information into a format summarising the impact for Harrow. Table 8, showing the impact of the Settlement shows that the increase in core spending power across the 3-year period is £60.427m but the majority of this is an assumed council tax increase of £33.198m. The real impact for Harrow is an increase in grant funding of £24.628m. The £2.601m relates to the additional grants (Homelessness, Rough Sleeping and Domestic Abuse grant, and Families First Partnership grant) included in the CSP. Only the additional grant of £0.902m for Homelessness, Rough Sleeping and Domestic Abuse has been assumed as additional funding in the MTFS.

**Table 7- Core Spending Power change 2025/26 to 2028/29 for Harrow**

| CORE SPENDING POWER | | | | | |
|---|---|---|---|---|---|
| *Please select authority* | | | | | |
| Harrow | | | | | |

| Illustrative Core Spending Power of Local Government: | | | | | |
|---|---|---|---|---|---|
| | 2024-25 £ millions | 2025-26 £ millions | 2026-27 £ millions | 2027-28 £ millions | 2028-29 £ millions |
| **Fair Funding Allocation**[1] | 0.0 | 0.0 | 100.6 | 108.3 | 116.3 |
| *of which: Baseline Funding Level* | 0.0 | 0.0 | 52.3 | 53.5 | 54.5 |
| *of which: Revenue Support Grant*[2] | 0.0 | 0.0 | 40.1 | 54.9 | 61.8 |
| *of which: Local Authority Better Care Grant*[3] | 0.0 | 0.0 | 8.2 | - | - |
| **Legacy Funding Assessment** | 84.9 | 89.0 | 0.0 | 0.0 | 0.0 |
| *of which: Legacy Business Rates*[4] | 50.5 | 52.7 | 0.0 | 0.0 | 0.0 |
| *of which: Legacy Grant Funding*[5] | 27.7 | 28.1 | 0.0 | 0.0 | 0.0 |
| *of which: Local Authority Better Care Grant* | 6.7 | 8.2 | 0.0 | 0.0 | 0.0 |
| **Council tax requirement**[6,7] | 162.2 | 173.1 | 183.5 | 194.6 | 206.3 |
| **Homelessness, Rough Sleeping and Domestic Abuse**[8,9] | 1.8 | 2.4 | 3.1 | 3.2 | 3.2 |
| **Families First Partnership**[10] | 0.8 | 1.3 | 3.7 | 3.7 | 3.2 |
| **Total Transitional Protections**[11] | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: 95% income protection* | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: 100% income protection* | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: Fire and Rescue real-terms floor* | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Grants rolled in to Revenue Support Grant**[12] | 2.2 | 2.7 | 0.0 | 0.0 | 0.0 |
| **Total Recovery Grant Allocation** | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: Recovery Grant* | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: Recovery Grant Guarantee*[13] | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| *of which: Recovery Grant Uplift*[13] | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Adjustment Support Grant** | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Mayoral Capacity Fund** | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Core Spending Power** | **252.0** | **268.5** | **290.9** | **309.7** | **328.9** |
| Core Spending Power year-on-year change (£ millions) | | 16.6 | 22.4 | 18.8 | 19.2 |
| Core Spending Power year-on-year change (%) | | 6.6% | 8.4% | 6.5% | 6.2% |
| Core Spending Power change since 2024 (£ millions) | | 16.6 | 39.0 | 57.8 | 77.0 |
| Core Spending Power change since 2024 (%) | | 6.6% | 15.5% | 22.9% | 30.6% |
| Core Spending Power change since 2025 (%) | | | 8.4% | 15.4% | 22.5% |

## Table 8 – Impact of the Final Finance Settlement on Harrow

| Final Finance Settlement (09/02/2026) | 2024/25 | 2025/26 | 2026/27 | 2027/28 | 2028/29 | 3-year Total (2026/27 - 2028/29) |
|---|---|---|---|---|---|---|
| | £'m | £'m | £'m | £'m | £'m | £'m |
| Core Spending Power | 251.996 | 268.523 | 290.945 | 309.745 | 328.950 | |
| Annual Change in CSP | | 16.526 | 22.422 | 18.800 | 19.205 | 60.427 |
| | | | | | | |
| Government Grants (Fair Funding Assessment / Legacy Funding Assessment) | 87.138 | 91.679 | 100.588 | 108.301 | 116.308 | |
| Annual Change | | 4.541 | 8.908 | 7.713 | 8.007 | 24.628 |
| | | | | | | |
| Consolidated Grants included in CSP: | 2.650 | 3.744 | 6.833 | 6.866 | 6.345 | |
| Annual Change | | 1.094 | 3.089 | 0.033 | -0.521 | 2.601 |
| | | | | | | |
| Council Tax requirement | 162.208 | 173.100 | 183.525 | 194.578 | 206.297 | |
| Annual Change | | 10.891 | 10.426 | 11.053 | 11.719 | 33.198 |

1.96 The changes made to the draft MTFS agreed in December 2025 along with the provisional and final finance settlements changes are summarised in Table 9. The impact of all the changes in Table 5 shows a reduction in the budget gaps; £0m in 2026/27, £7.594m in 2027/28 and £2.567m in 2028/29.

| Table 9: Changes to the MTFS (Post Provisional Finance Settlement on 17 December 2025) | | | | |
|---|---|---|---|---|
| | 2026/27 | 2027/28 | 2028/29 | Total |
| | £'000 | £'000 | £'000 | £'000 |
| **Published Budget Gap - December 2025** | **17,061** | **8,153** | **7,325** | **32,539** |
| | | | | |
| **Adjustments:** | | | | |
| **Changes as a result of the December Finance Settlement** | | | | |
| Fair Funding Allocation | -8,908 | -7,713 | -8,007 | **-24,628** |
| Remove government grants and business rates increases assumed in previous budget | 1,389 | 1,701 | | **3,090** |
| Other adjustments to grant income | 93 | | | **93** |
| Consolidated Grant: Homelessness, Rough Sleeping and Domestic Abuse Grant | -848 | -34 | -20 | **-902** |
| Consolidated Grant: Children, Families and Youth Grant | | | | **0** |
| Consolidated Grant: Crisis and Resilience Fund | | | | **0** |
| Consolidated Grant: Public Health Grant | | | | **0** |
| | **-8,274** | **-6,046** | **-8,027** | **-22,347** |
| **Changes to Capital Financing Costs:** | | | | |
| Capital Financing costs arising from 26/27 refresh - Additional capital proposals since Draft Capital Programme | | | 588 | **588** |
| Capital Financing saving due to the use of external grant to substitute borrowing (Highway Maintenance Funding 26/27 and 27/28) | | -65 | -69 | **-134** |
| Capital Financing costs arising from 25/26 in-year capital addition (PAP - council borrowing match fund of £455k to GLA funding) | 30 | | | **30** |
| | **30** | **-65** | **519** | **484** |
| **Changes to Corporate / Technical Budgets:** | | | | |
| West London Waste Authority levy - adjustment to 27/28 growth and add growth for 28/29 | | -136 | 324 | **188** |
| Potential cost impact of the introduction of Emissions Trading Scheme in 28/29 | | | 2,880 | **2,880** |
| Review of Investment Properties | 280 | | | **280** |
| One-off capital financing saving by utilising funding in Voluntary MRP | -6,800 | 6,800 | | **0** |
| | **-6,520** | **6,664** | **3,204** | **3,348** |
| **Changes to Service Directorate Savings / Growth:** | | | | |
| *Changes to proposals included in the Draft Budget:* | | | | |
| Adult Services - Reduction in additional demand growth on ASC, MH and CYAD | -3,129 | -481 | -497 | **-4,107** |
| Housing & Regeneration - Reduction in Temporary Accommodation pressure (as a result of the acquisition of 3 additional PAP properties using GLA LAHF3 funding and Council match fund during 25/26) | -30 | | | **-30** |
| CEE - Reduction in growth for realignment of parking income | -300 | | | **-300** |
| Resources - Increase in income from the Expansion of Careline Services | -50 | | | **-50** |
| *New proposals:* | | | | |
| Adult Services - Transfer of Children's home (The Firs) from Children Services to Adult Services, offering more respite care for families. One-off growth to support the transition. | 237 | -237 | | **0** |
| Adult Services - Assistive Technology service. One-off growth as the investment is expected to deliver saving in future years. | 350 | -350 | | **0** |
| Adult Services - OT-led enablement service. One-off growth as the investment is expected to deliver saving in future years. | 205 | -205 | | **0** |
| CEE - Additional Income from new leisure contract | | -164 | -142 | **-306** |
| CEE - Legislative impacts on waste disposal (dry recyclable waste) | | 265 | 185 | **450** |
| Housing & Regeneration - Re-profiling of existing savings relating to the review of Sheldon House | 331 | -331 | | **0** |
| CEE - Equipment for Harrow Litter Pickers | 10 | | | **10** |
| CEE - Graffiti Removal Service | 170 | | | **170** |
| CEE - Provision of food waste bin liners (one-off growth; cost of subsequent years assumed to be met from waste disposal saving) | 153 | -153 | | **0** |
| CEE - Investment in Public Protection team | 300 | | | **300** |
| | **-1,753** | **-1,656** | **-454** | **-3,863** |
| **Use of Reserves:** | | | | |
| Budget Planning Reserve | -544 | 544 | | **0** |
| | **-544** | **544** | **0** | **0** |
| | | | | |
| **Revised Budgwet Gap - February 2026** | **0** | **7,594** | **2,567** | **10,161** |

## CHANGES MADE TO THE BUDGET POST THE PROVISIONAL AND FINAL SETTLEMENTS INCLUDED IN TABLE 9

1.97 As explained in paragraph 1.95, the provisional settlement (17th December 2025) provided £24.628m of additional grant across the 3 years of the MTFS. Because the draft budget in December included an assumed additional grant of £3.090m, this needs to be reversed or in other words of the £24.198m, £3.090m had already been assumed as additional grant when the budget was set in February 2025.

In addition, in terms of the 4 consolidated grants, only the additional grant for Homelessness, Rough sleeping and Domestic abuse is accounted for as additional funding that can help towards the budget gap. As a large amount of growth for housing of £21m has already been assumed in the budget (see table 4), this additional grant will be used to partially reduce homelessness pressure.

In the Provisional Finance Settlement, the additional grant for Homelessness, Rough sleeping and Domestic abuse was £808k over 3 years. When the Final Finance Settlement was announced on 9th February 2026, the Government provided an additional allocation of £272m. This has increased Harrow's allocation by £94k to £0.902m and changed the funding profile over 3 years. This is the only change to the Provisional Finance Settlement for Harrow.

1.98 There is a net additional capital financing cost of £484k since the Draft budget and Draft Capital programme was set in December, the majority of which relates to the inclusion of additional Capital proposals included in the Final Capital Programme report which is elsewhere on this agenda.

1.99 Within the Corporate and Technical changes there are 4 items that total a net increase to the budget gap of £3.348m and need further explanation:

- In January 2026, West London Waste Authority (WLWA) issued their 2026/27 Final Budget report, which includes a medium-term financial model showing indicative levies for future years based on forecast growth in waste tonnage to reflect population growth. Using this model, the projected increase in levies for Harrow is £341k and £324k for 2027/28 and 2028/29 respectively. As the levy growth for 2027/28 was assumed at £477k in the Draft Budget, an adjustment of (£136k) is made in the Final Budget. A new growth of £324k is added to 2028/29 based on the financial model.

- The WLWA Final Budget report also provides an estimate of levies with Emissions Trading Scheme liability from 2028. This scenario assumes that levies are expected to increase should fossil carbon in residual waste not decrease. The estimated costs are in a region of £20m collectively across the 6 constituent boroughs, based on 48% of the residual waste containing fossil carbon being charged at £98/tonne. As a high-level apportionment, Harrow's share of this cost is estimated to be £2.88m in 2028/29.

- Investment properties held by the Council are regularly reviewed as part of the asset management of income-producing commercial property assets. A proposal was presented to Cabinet in January 2026 to surrender and regrant

of a lease of one of the investment properties. The growth of £280k reflects the adjustment to the income budget following the approval of this proposal.

- In the current MHCLG Minimum Revenue Provision (MRP) Guidance (2024), any charges made over the statutory MRP required, referred to as an overpayment and itemised as a Voluntary Minimum Revenue Provision (VMRP) can, if needed, be reclaimed in later years if deemed necessary or prudent. As at 31 March 2025 the balance of VMRP was £6.8m. The regulations allow the Council to charge VMRP, which can be used to reduce future MRP by the same amount. It is proposed that this one-off £6.8m is used to reduce the capital financing costs for 2026/27.

1.100 There is a requirement to balance the 2026/27 budget with a draw down of £544k from the budget planning reserve which only serves to address the 2026/27 shortfall and increases the gap by the same amount inf 2027/28. This reduces the budget planning reserve from £22.8m to £22.3m.

1.101 There have been further growth and savings added to the budget since December 2025 which have a net impact of saving £3.813m. These are all set out in detail in appendix 1A but the most significant of this relates to a reduction in the growth added to adult services of £4.107m as a result of additional support from the Better Care Fund.

1.102 The following table sets out the total Savings and Growth in relation to 2026/27 to 2028/29 being agreed as part of this Budget report and which incorporates the savings and growth set out in the December 2025 draft budget report which included £44.678m of net growth and the additional net savings of £3.863m set out in Table 9 above. Overall, this sets out total overall net growth in the budget across the MTFS of £40.815m.

**Total savings/growth - 2026-27 Final Budget and MTFS**

| | 2026-27 | 2027-28 | 2028-29 | Total |
|---|---|---|---|---|
| | £000 | £000 | £000 | £000 |
| **Savings** | | | | |
| Resources | (335) | (115) | 0 | **(450)** |
| Managing Director | (328) | 135 | 0 | **(193)** |
| Culture, Environment and Economy | (421) | (164) | (142) | **(727)** |
| Housing and Regeneration | (1,716) | (491) | (287) | **(2,494)** |
| Adult | (113) | (50) | 0 | **(163)** |
| Childrens | (135) | 0 | 0 | **(135)** |
| **Total Savings** | **(3,048)** | **(685)** | **(429)** | **(4,162)** |
| **Growth** | | | | |
| Resources | 506 | 0 | (266) | **240** |
| Managing Director | 16 | 0 | 0 | **16** |
| Culture, Environment and Economy | 2,340 | 162 | 185 | **2,687** |
| Housing and Regeneration | 12,575 | 3,612 | 4,000 | **20,187** |
| Adult | 10,063 | 4,727 | 5,503 | **20,293** |
| Childrens | 1,554 | 0 | 0 | **1,554** |
| **Total Growth** | **27,054** | **8,501** | **9,422** | **44,977** |
| **Net Total Savings and Growth** | **24,006** | **7,816** | **8,993** | **40,815** |

## CAPITAL RECEIPTS FLEXIBILITY

1.103 In 2016 the government announced the Capital Receipts Flexibility Scheme to support local authorities to deliver more efficient and sustainable services by allowing them to spend up to 100% of their fixed assets receipts on the revenue costs of transformation projects.

1.104 The flexibility was initially offered to the sector for the three financial years 2016/17 to 2018/19. In December 2017, the Secretary of State announced, alongside the provisional local government finance settlement, the continuation of the capital receipts flexibility programme for a further three years, covering 2019/20 to 2021/22. The flexibility has been extended on numerous occasions. In December 2023, the government announced the extension of this scheme to March 2030. This was also confirmed in the local government finance policy statement 2025/26 issued on 28th November 2024. The statement also confirmed that the government removed the restriction with respect to redundancy costs, imposed from April 2022, that limited the use of the flexibility to statutory redundancy costs only. This supports authorities in taking forward transformation and invest-to-save projects. The statutory guidance on the flexible use of capital receipts was updated in March 2025. This guidance applies with effect from 1 April 2025, for the period for which flexible use of capital receipts will apply.

1.105 Qualifying expenditure is expenditure on any project that is designed to generate ongoing revenue savings in the delivery of public services and/or transform service delivery to reduce costs and/or transform service delivery in a way that reduces costs or demand for services in future years for any of the public sector delivery partners.

1.106 Local authorities are given the power to use capital receipts from the disposal of property, plant and equipment assets received in the years in which this flexibility is offered, to spend up to 100% of their fixed asset receipts (excluding Right to Buy receipts) on the revenue costs of reform projects.

1.107 The Council signified its intent to make use of this flexibility in its final budget report to Cabinet and Council in February 2016 and has continued to do so as part of the Annual Budget Setting process in order to provide the Council with the flexibility should it be needed. To date, total qualifying expenditure of £9.665m has been funded via capital flexibilities.

1.108 The 2026/27 budget includes of £1.250m to fund the Regeneration Team. The nature of this spend meets the capital flexibility criteria and the team will be funded under the capital flexibilities scheme in 2026/27. The MTFS does not currently assume any further use of capital receipt flexibilities from 2027/28 onwards, but this will be reviewed as part of the 2027/28 budget process

1.109 The Council may seek to use further capital flexibilities to support its MTFS, in line with Appendix 14 – Flexible Use of Capital Receipts.

## PUBLIC HEALTH FUNDING 2026/27

1.110 For 2025/26 the total public health grant to local authorities totalled £3.858bn, with £13.346m being originally allocated to Harrow. The grant is ringfenced for use on public health functions exclusively for all ages of the population and must be spent in accordance with grant conditions on expenditure incurred by local authorities for the purposes of their public health functions, as specified in Section 73B (2) of the National Health Service Act 2006.

1.111 As part of the 2026/27 Provisional Finance Settlement, the authority was allocated £14.251M for 2026/27 which was an increase of £905k on 2025/26. However, DHSC confirmed that from 2026/27 the Local Stop Smoking Grant (£0.266M 2025/26) and substance misuse grants (£0.270M 2025/26) have been consolidated into the overall ringfenced Public Health Grant. Therefore, the increase to the Public Health grant before the rolling in of grants is £369k. Although these two grants have been rolled into the main Public Health grant, the key message is that authorities must ensure these funds continue to support substance misuse and tobacco public health priorities.

**SCHOOLS FUNDING FOR 2026/27**

1.112 Local Authorities are funded based on the total of the National Funding Formula (NFF) for all schools, academies, and free schools in its area, with the final formula for distribution being determined by each Council following consultation with schools and Schools Forums. The NFF will be used to determine school budget shares for 2026/27.

1.113 The Dedicated Schools Grant (DSG) is a ring-fenced grant used primarily to fund individual school budgets in maintained schools, academies, and free schools in Harrow. It also funds Early Years provision, including the free entitlement places for 9-month to 4-year-olds in maintained council nursery classes and private, voluntary, and independent (PVI) nurseries as well as provision for pupils with High Need.

1.114 The provisional DSG allocation for 2026-27 is £329.7m as set out in the table below.

**2026-27 Dedicated Schools Grant allocation**

| DSG Allocation before recoupment and deductions | DSG 2025/26 | Additional Grants 2025/26 | DSG & Additional Grants 2025/26 | DSG 2026/27 | Change to 2025/26 | % Change to 2025/26 |
|---|---|---|---|---|---|---|
| | £'000 | £'000 | £'000 | £'000 | £'000 | |
| Schools Block | £224,114 | £5,595 | £229,709 | £232,596 | £2,887 | 1.3% |
| Central School Services Block | £1,589 | £120 | £1,710 | £1,724 | £15 | 0.9% |
| High Needs Block | £51,996 | £3,085 | £55,081 | £55,081 | £0 | 0.0% |
| Early Year Block | £35,587 | | £35,587 | £40,346 | £4,760 | 13.4% |
| **Total DSG** | **£313,286** | **£8,801** | **£322,087** | **£329,748** | **£7,661** | **2.4%** |

1.115 The High Needs Block funding for 2026/27 is based on 2025/26 levels, following the suspension of the High Needs National Funding Formula ahead of wider SEND Reform expected early 2026. The allocation includes the roll-in of 2025/26 grants and as a result, the High Needs Block remains cash-flat year on year and does not reflect growth in demand or underlying cost pressures.

1.116 In 2020, the government introduced a statutory override in accounting for the DSG. This allowed Local Authorities to keep DSG balances separated and not required to fund deficits from general reserves. The override is in place until March 2028. When the Budget was announced in November 2025, it was confirmed that the Government will set out its plans for SEND reform early in the new year and that from 2028 onwards, future costs will be managed, in full, within the overall government budget. Local authorities will not need to cover SEND costs from their general funds after the end of 2027-28 when the Statutory Override ends.

1.117 The Final Finance Settlement announced on 9th February 2026 provided further updates on SEND and DSG Deficits. The support for local authorities will be introduced in phases. The first phase will address historic deficits accrued up to the end of 2025-26. All local authorities with a SEND deficit will be eligible in 2026-27 to receive a High Needs Stability Grant covering 90% of their High Needs-related DSG deficit accrued up to the end of 2025- 26, subject to each local authority submitting and securing the Department for Education's approval of a local SEND reform plan.

The Statutory Override will remain in place until the end of 2027-28. While it remains in effect, all DSG deficits including any proportion of the historic deficit up to 2025-26 not covered by grant ("the residual deficit") will remain in the associated statutory reserve ("the unusable reserve") and will not affect local authorities' wider financial positions. The Statutory Override will end on 31 March 2028. Therefore, local authorities will need to plan to be able to meet the cost of the residual deficit from their own resources in 2028-29, including setting aside appropriate reserves in the preceding years.

For future phases of support, the Government recognises that SEND reform will take time to fully embed and local authorities will need further support. For deficits that arise in 2026/27 and 2027/28, the Government will continue to take an appropriate and proportionate approach, though it will not be unlimited. Whilst recognising the challenges of the current system, it remains vital that every authority provides appropriate high-quality support for children and young people's education whilst ensuring robust controls as the SEND system is reformed. The Government will support local authorities and their partners to do this through their Local SEND Reform Plans.

Therefore, it is unclear at this stage what the exact financial support will be for deficits that arise in 2026/27 and 2027/28.

1.118 For Harrow, deficits on the DSG have been accumulating since 2023/24 when surplus in reserves were depleted. Harrow's projected cumulative deficit at the end of 2025-26 is forecast to be £32m after a forecast in-year deficit of £18m resulting from pressures in the High Needs block.

1.119 The final Dedicated Schools Grant (DSG) allocations and the funding formula are included in Appendix 6 for approval following agreement at the Schools Forum on 13 January 2026.

## BETTER CARE FUND (BCF) 2026/27

1.120 The framework for the Better Care Fund (BCF) derives from the government's mandate to the NHS which sets an objective for NHS England to ring fence funding to form the NHS contribution to the BCF.

1.121 The BCF continues to provide a mechanism for personalised, integrated approaches to health and care that support people to remain independent at home or to return to independence after a period in hospital. The continuation of the national conditions and requirements of the BCF provides opportunities for health and care partners to build on their plans to embed joint working and integrated care further, including how to work collaboratively to bring together funding streams to maximise the impact on outcomes for communities and sustaining vital community provision.

1.122 The total value of the 2025/26 Better Care Fund for Harrow as shown below, is £33.96M which includes the Disabled Facilities (£2.29m), (for which the authority received an additional £0.15M for the current financial year).

| **Better Care Fund 2024-2025** | **25/26 £m** | **Plan 26/27 £m** | **Plan 27/28 £m** |
|---|---|---|---|
| DFG | £2.14 | £2.14 | £2.14 |
| Additional DFG 2025/26 | £0.15 | | |
| Minimum NHS Contribution | £23.45 | £24.14 | £24.88 |
| Local Authority Better Care Grant | £8.22 | £8.22 | £8.22 |
| **Total** | **£33.96** | **£34.50** | **£35.23** |

1.123 NHS England have published Better Care Funding for 2026/27 to 2027/28: minimum NHS contributions from integrated care boards. In 2026/27 and 2027/28, the NHS minimum contribution to adult social care has been uplifted (in line with the Spending Review 2025 commitment of an increase to the NHS's minimum contribution to adult social care via the Better Care Fund in line with DHSC's SR settlement), from £23.454m to £24.14m and £24.88m respectively.

## RESERVES AND CONTINGENCIES

1.124 Reserves and contingencies need to be considered in the context of their role to protect the Council's financial standing and in the context of the overall risks that the Council faces during a continuing period of economic uncertainty. The MTFS reflects the Council's need to ensure an adequate level of reserves and contingencies which will enable it to manage the risks

associated with delivery of the budget including equalities impacts and unforeseen events.

1.125 The Council's overall reserves position is reported to Cabinet quarterly as part of the revenue monitoring update. At quarter 3 (end of December 2025), total reserves forecast for carry forward into 2026/27 are as follows:

| | £m |
|---|---|
| ● Community Infrastructure Levy (CIL) | £6.2m |
| ● Housing Revenue Account (HRA) | £21.7m |
| ● General Fund (Earmarked Reserves) | £7.8m |
| ● General Fund (Non-Specific) | £8.4 m |
| ● Budget Planning Reserve | £22.8m |
| ● General Fund balances | £10.0m |
| **Total General Fund (excluding CIL and HRA)** | **£49.0m** |

1.126 The total General Fund Reserves are £49.0m, which includes £10m of General Fund Balances. There is also a forecast DSG deficit of £32.1m which is a significant sum and is just under the combined total of £32.8m for the Budget Planning reserve (£22.8m) and the General fund balances (£10.m).

1.127 At the end of the financial year, all reserves are reviewed including a focus on ear marked reserves to ensure they are still required for the purpose to which they are designated.

1.128 In addition to reserves, there is an annual budgeted Contingency for Unforeseen items of £2m which sits within the corporate budgets. The Contingency is an annual budget, unlike reserves which are one off funds, and can be used to fund unexpected and unforeseen costs including unexpected overspends and to mitigate equality impacts as considered necessary.

1.129 There is also the planned use of reserves in future years required to support capacity and MTFS implementation which have been factored in the figures in Appendix 9.

1.130 At the end of the financial year, when preparing the outturn report, all reserves will be subject to a further review including a focus on earmarked reserves to ensure they are still required for the purpose to which they are designated or can be moved to support the MTFS. The report of the Director of Finance, which includes the adequacy of Council reserves and contingencies, is detailed in Appendix 10.

**LEVIES, CONTINGENCIES AND SUBSCRIPTIONS**

1.131 Appendix 4 sets out the main levies, contributions to other bodies, and subscriptions that the Council will pay in 2026/27. These sums are set by other bodies and are outside the Council's control. Except for the

subscriptions to London Councils and the Local Government Association, the payments are compulsory.

## COUNCIL TAX MODEL RESOLUTION

1.132 The Council Tax Model Resolution is attached at Appendix 11 which proposes the Band D council tax of £2,000.56 for Harrow Council. The proposed GLA precept of £510.51 (£490.38 in 2025/26) takes the overall proposed Band D council tax to £2,511.07. The GLA precept is still subject to confirmation and is expected to be confirmed on 26th February 2026. The relevant basic amount of council tax is under the threshold in the Referendum relating to Council Tax Increases (Principle) (England) Report 2026/27.

1.133 The proposed GLA precept is an increase of 4.1% taking the aggregate Council Tax increase to 4.81% for 2026/27. Table 10 shows the Band D council tax for 2025/26 and 2026/27, including % increase.

**Table 10 - Band D Council Tax**

| | **2026/27** | **2025/26** | **Change** |
|---|---|---|---|
| Harrow | £2,000.56 | £1,905.48 | 4.99% |
| GLA | £510.51 | £490.38 | 4.10% |
| **Total** | **£2,511.07** | **£2,395.86** | **4.81%** |

## MEMBERS ALLOWANCES

1.134 The proposed Members Allowances scheme for 2026/27 is attached at Appendix 12. It is proposed that the basic allowance and the different bands of the Special Responsibility Allowance and Mayoral Allowances be updated by 3.2%. This proposal is in line with the Local Government Pay Settlement for 2025/26 and is also in line with previous years' arrangements.

## ANNUAL PAY POLICY STATEMENT

1.135 Under the Localism Act, all public authorities must publish annual pay policy statements. The statement must set out the Authority's policies for the financial years relating to:

- Remuneration of Chief Officers
- Renumeration of its lowest paid employees
- The relationship between the remuneration of its Chief Officers and the remuneration of those employees who are not Chief Officers.

1.136 The proposed statement is attached at Appendix 13.

## LONDON BOROUGH GRANTS SCHEME

1.137 London Councils require formal notification of the Council's agreement to their contribution for 2026/27. Harrow's contribution to the London Borough Grants Scheme is £200,261 for 2026/27 which has increased by £2,614 from

the 2025/26 level of £197,647. This is included within the levies at Appendix 4.

## 2.0 CONSULTATION

2.1 As a matter of public law, the duty to consult with regards to proposals to vary, reduce or withdraw services will arise in four circumstances:

- Where there is a statutory requirement in the relevant legislative framework.
- Where the practice has been to consult or where a policy document states the council will consult then the council must comply with its own practice or policy.
- Exceptionally, where the matter is so important that there is a legitimate expectation of consultation and.
- Where consultation is required to complete an equalities impact assessment.

2.2 Regardless of whether the council has a duty to consult, if it chooses to consult, such consultation must be carried out fairly. In general, a consultation can only be considered as proper consultation if:

- Comments are genuinely invited at the formative stage.
- The consultation documents include sufficient reasons for the proposal to allow those being consulted to be properly informed and to give an informed response.
- There is adequate time given to the consultees to consider the proposals;
- There is a mechanism for feeding back the comments, and those comments are conscientiously taken into account by the decision maker / decision making body when making a final decision;
- The degree of specificity with which, in fairness, the public authority should conduct its consultation exercise may be influenced by the identity of those whom it is consulting and;
- The consultation is clear on the reasons and extent to which alternatives and discarded options have been considered.

2.3 Public consultation on the overall Draft Budget for 2026/27 was carried out over a six-week period from 19 December 2025 to 29 January 2026. The consultation enabled residents to share their views on the Council's proposed budget for 2026/27 ahead of final decisions being agreed as part of the annual budget-setting process. In addition to residents, a range of key stakeholders were also engaged, including Trade Union representatives, local businesses, employees and the Council's Scrutiny function, as part of the wider consultation on the draft budget and Medium Term Financial Strategy (MTFS).

2.4 The consultation was hosted on the Council's consultation platform, MyHarrow Talk. The project page provided access to consultation materials, including the December 2025 Cabinet Report and appendices, supporting background information, explanatory videos and an online survey

2.5 Awareness of the consultation was raised through multiple channels, including promotion via the Council's weekly MyHarrow News e-newsletter to approximately 130,000 MyHarrow account holders and subscribers, and coverage in the December edition of Harrow People Magazine, delivered to around 100,000 households. The consultation was also included in the December edition of the relaunched business newsletter and promoted through the Council's social media channels and shared by Harrow Online. The budget consultation was also included in the December Business e-newsletter.

2.6 In total, approximately 2,200 visits were recorded to the consultation pages on MyHarrowTalk, and 105 responses were received through the online survey.

2.7 A detailed summary of the consultation response data is set out in Appendix 15.

2.8 In addition to the Budget Consultation with Residents and Businesses, a further stakeholder consultation meeting (Employees Consultative Forum) took place with the Employees and Unions on 28 January 2026.

2.9 The minutes of the meeting are attached at Appendix 16.

2.10 In terms of service specific consultations, the council has a duty to consult with residents and service users in several different situations including where proposals are to significantly vary, reduce or withdraw services. Consultation is also needed in other circumstances, for example to identify the impact of proposals or to assist with complying with the council's equality duties. Council sets the budget envelope and Cabinet works within this. Where appropriate, separate service specific consultations will take place for the 2026/27 savings and may be subject to a separate Cabinet report and Cabinet decisions as necessary.

## 3.0 PERFORMANCE ISSUES

3.1 In terms of financial performance, Cabinet is updated quarterly on forecast spend against the agreed budget and achievement of savings built into the budget. The same information is also presented to the Performance and Finance Scrutiny Sub Committee when it meets during the year.

## 4.0 RISK MANAGEMENT IMPLICATIONS

4.1 Risks included on corporate or directorate risk register? Yes – Inability to deliver the Council's MTFS is included in the Corporate Risk Register

Separate risk register in place? No

The relevant risks contained in the register are attached/summarised below. Yes

The following key risks should be considered when agreeing the recommendations in this report:

| Risk Description | Mitigations | RAG Status |
|---|---|---|
| Inability to deliver the Council's approved MTFS - over the next 3 years leading to an inability to set a balanced budget and provide core services | • In-year Revenue & Capital monitoring reported to CLT monthly, as well as the Portfolio Holder for Finance and Highways, and Cabinet on a quarterly basis.<br>• Budget planning sessions held to tackle in year pressures and look for opportunities/savings from February 2025 through to December 2025.<br>• Savings are tracked on a monthly basis via the MTFS savings tracker<br>• Budget for 2026/27 is balanced but more work is required on the Budget for 2027/28 and 2028/29 beyond February 2026. | **RED** |
| The final budget and MTFS is based on the 2026/27 Provisional Financial Settlement, which was received on 17th December 2025. The Final 2026/27 Finance settlement will be announced in early February 2026, and this will provide certainty. | • Draft budget and MTFS based on most up to date information from London Councils and MHCLG and is based on prudent sensible assumptions<br>• The final budget will be prepared considering the Final Settlement. Any changes will have to comply with the legal requirement to set a balanced budget.<br>• There is a contingency for unforeseen items (£2m) which is intended to mitigate uncertainty | **RED** |
| Balanced budget for 2025/26 not achieved adversely impacting on the 2026/27 budget | • The 'Q3 Revenue and Capital Report' forecasts a net overspend of £2.869m. It is anticipated that this could reduce by year end as forecasts build in anticipated spend which may not happen.<br>• The estimated impact of 2025/26 pressures into 2026/27 are accounted for in the draft budget and MTFS<br>• There is a contingency for unforeseen items (£2m) which has been utilised to offset the overspend in full.<br>• There is a Budget planning reserve in place of £22.8m should the overspend not be eliminated by year end which could be drawn down if necessary. | **AMBER** |

## 5.0 LEGAL IMPLICATIONS

5.1 Section 31A of the Local Government Finance Act 1992 requires billing authorities to calculate their council tax requirements in accordance with the prescribed requirements of that section. This requires consideration of the authority's estimated revenue expenditure for the year to perform its functions, allowances for contingencies in accordance with proper practices, financial reserves and amounts required to be transferred from general fund to collection fund.

5.2 Local authorities owe a fiduciary duty to council taxpayers, which means they must consider the prudent use of resources, including control of expenditure, financial prudence in the short and long term, the need to strike a fair balance between the interests of council taxpayers and ratepayers and the community's interest in adequate and efficient services and the need to act in good faith in relation to compliance with statutory duties and exercising statutory powers.

5.3 Cabinet is approving these proposals for consultation after which a cumulative equalities impact will be drafted. These proposals will be referred to Council so that Council can approve the budget envelope and set the Council Tax. There will be contingencies within the budget envelope so that decision makers have some flexibility should any decisions have detrimental equalities impacts that cannot be mitigated.

Section 151 of the Local Government Act 1972 states that: "without prejudice to section 111, every local authority shall make arrangements for the proper administration of their financial affairs and shall secure that one of their officers has responsibility for the administration of those affairs". Section 111 of the Local Government Act 1972 relates to the subsidiary powers of local authorities.

Under Section 114 (3) of the Local Government Finance Act 1988, the chief finance officer (S151 Officer) of a relevant authority shall make a report under this section if it appears to them that the expenditure of the authority incurred (including expenditure it proposes to incur) in a financial year is likely to exceed the resources (including sums borrowed) available to it to meet that expenditure.

## 6.0 FINANCIAL IMPLICATIONS

6.1 Financial Implications are integral to this report.

## 7.0 PROCUREMENT IMPLICATIONS

7.1 There are no procurement implications arising from this report.

## 8.0 EQUALITIES IMPLICATIONS / PUBLIC SECTOR EQUALITY DUTY

8.1 Decision makers should have due regard to the public sector equality duty in making their decisions. The equalities duties are continuing duties, they are not duties to secure a particular outcome. The equalities impact will be revisited on each of the proposals as they are developed. Consideration of the duties should precede the decision. It is important that Cabinet has regard to the statutory grounds in the light of all available material such as consultation responses. The statutory grounds of the public sector equality duty are found at section 149 of the Equality Act 2010 and are as follows:

*A public authority must, in the exercise of its functions, have due regard to the need to:*

*(a) eliminate discrimination, harassment, victimisation, and any other conduct that is prohibited by or under this Act;*
*(b) advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it;*
*(c) Foster good relations between persons who share a relevant protected characteristic and persons who do not share it.*
*Having due regard to the need to advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it involves having due regard to the need to:*

*(d) remove or minimise disadvantages suffered by persons who share a relevant protected characteristic that are connected to that characteristic;*
*(e) take steps to meet the needs of persons who share a relevant protected characteristic that are different from the needs of persons who do not share it;*
*(f) Encourage persons who share a relevant protected characteristic to participate in public life or in any other activity in which participation by such persons is disproportionately low.*
*The steps involved in meeting the needs of disabled persons that are different from the needs of persons who are not disabled include steps to take account of disabled persons' disabilities.*

Having due regard to the need to foster good relations between persons who share a relevant protected characteristic and persons who do not share it involves having due regard; in particular, to the need to:

*(a) Tackle prejudice, and*
*(b) Promote understanding.*
*Compliance with the duties in this section may involve treating some persons more favourably than others; but that is not to be taken as permitting conduct that would otherwise be prohibited by or under this Act.*

*The relevant protected characteristics are:*

- *Age*
- *Disability*
- *Gender reassignment*

- *Pregnancy and maternity*
- *Race*
- *Religion or belief*
- *Sex*
- *Sexual orientation*
- *Marriage and Civil partnership*

8.2 Officers have looked at the saving proposals and are of the view that there is no equalities impact. The proposals are either for vacant posts or contractual back office savings.

### Council Priorities

The Council's draft budget and MTFS for 2026/27 has been prepared in line with the Council's priorities:

1. **A council that puts residents first**

2. **A borough that is clean and safe**

3. **A place where those in need are supported.**

## Section 3 - Statutory Officer Clearance

**Statutory Officer: Sharon Daniels**
Chief Financial Officer
**Date: 02/02/2026**

**Statutory Officer: Jessica Farmer**
Signed by / on behalf of the Monitoring Officer
**Date: 09/02/2026**

**Chief Officer: Sharon Daniels**
Signed by the Strategic Director of Finance
**Date: 02/02/2026**

**Assistant Director of Procurement: Nimesh Mehta**
Signed by the Assistant Director Procurement
**Date: 09/02/2026**

**Has the Portfolio Holder(s) been consulted? Yes ☒**

## Mandatory Checks

**Ward Councillors notified:** NO, as it impacts on all Wards

**EqIA carried out:** NO, to be reported as part of the February 2026 final budget report

# Section 4 - Contact Details and Background Papers

**Contact:** Sharon Daniels – Strategic Director of Finance (Section 151)
Sharon.Daniels@harrow.gov.uk

**Background Papers: NONE**

## Call-in waived by the Chair of Overview and Scrutiny Committee: NO